

ARNOLD BERNHARD

1901–1987

Long before Arnold Bernhard founded Value Line, Inc., the Williams College graduate was a reporter, reviewing plays, movies and nightclubs. The stock market craze in the 1920s, however, soon attracted his attention and he took a job in the office of Jesse Livermore, a renowned speculator. (Livermore was the model for Edwin Lefèvre's classic, *Reminiscences of a Stock Operator*.) After his short stint with Livermore, he moved on to Moody's Investors Service, first as an analyst and then as an account executive. In 1931, he lost his job, but immediately founded Arnold Bernhard & Company.

The first issue of the *Value Line Investment Survey*, which ranks stocks for their projected market performance, came out in 1936. Like so many other great investors, Bernhard wanted to do away with emotionalism—a lesson learned in 1929 when emotions were running high. He watched helplessly as his mother lost all of the insurance money left to her by her deceased husband. She simply refused to let go even though one of her stocks, Cities Service, fell from \$50 to \$2 a share. "If all the devilry of all the crooked stock market riggers of all time were raised to the hundredth power," Bernhard wrote, "it would count as nothing compared to the desolation wrought by deluded crowds whose imagination knows no discipline."

Bernhard admitted, "even if we concede that the value of a stock is just a matter of psychology, or, as Lord Keynes once said, 'the average man's opinion of what the average man's opinion will be,' we still must recognize that they are influences that shape the psychology of the average man over a period of time. Something makes the psychology." For Bernhard, it was a matter of finding the right buttons or statistics that drives the value of a stock and the market. Two of those buttons are the company's past performance, which is based on the growth trend of earnings and dividends and their stability, and the other is what he calls "appreciation potentiality," which is based on forecasting earnings and dividends on a three- to five-year horizon. Bernhard develops these ideas and rejects some classical methods for determining the value of a stock in *The Valuation of Listed Stocks*.